



East African Cables
Connecting lives

INTERIM FINANCIAL STATEMENTS

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2020

Condensed Statement of Comprehensive Income for the six months ended 30 June 2020

	Group 2020 Kshs'000	Group 2019 Kshs'000	Company 2020 Kshs'000	Company 2019 Kshs'000
Turnover	755,914	698,944	725,479	650,173
Gross profit	232,803	225,633	232,505	223,399
Cost of operations	(412,539)	(499,755)	(314,556)	(317,584)
(Loss) / profit from operating activities	(179,736)	(274,122)	(82,051)	(94,185)
Finance costs	(147,150)	(102,982)	(139,352)	(97,088)
(Loss) / profit from operations	(326,886)	(377,104)	(221,403)	(191,273)
Extra-ordinary items	-	1,279,244	-	1,112,471
(Loss) / profit before tax	(326,886)	902,140	(221,403)	921,198
Income tax credit / (expense)	82,429	(268,543)	55,324	(276,346)
(Loss) / profit for the period	(244,457)	633,597	(166,079)	644,852
(Loss) / profit from operations attributable to: Equity holders of parent company	(213,294)	642,687	(166,079)	644,852
Non-controlling interest	(31,163)	(9,090)	-	-
(Loss) / profit for the period	(244,457)	633,597	(166,079)	644,852
Basic and Diluted Earnings per share (KShs)	(0.84)	2.54	(0.66)	2.55

Condensed Statement of Financial Position as at 30 June 2020

	Group 2020 Kshs'000	Group 2019 Kshs'000	Company 2020 Kshs'000	Company 2019 Kshs'000
Assets				
Non-current assets	4,969,446	5,310,797	3,432,302	3,795,350
Current assets	1,189,240	1,080,937	1,330,130	1,160,252
Total assets	6,158,686	6,391,734	4,762,432	4,955,602
Equity and liabilities				
Share Capital	126,563	126,563	126,563	126,563
Reserves	1,524,061	1,691,909	1,406,396	1,487,789
Non-controlling interest	257,335	316,338	-	-
Non-current liabilities	2,872,650	2,634,006	2,506,584	2,252,723
Current liabilities	1,378,077	1,622,918	722,889	1,088,527
Total equity and liabilities	6,158,686	6,391,734	4,762,732	4,955,602

Condensed Statement of Cash flows for the six months ended 30 June 2020

	Group 2020 Kshs'000	Group 2019 Kshs'000	Company 2020 Kshs'000	Company 2019 Kshs'000
Cash generated from operations	129,264	1,510,126	85,510	1,328,515
Income taxes paid	-	-	-	-
Cash generated from operating activities	129,264	1,510,126	85,510	1,328,515
Cash used in investing activities	-	(2,455)	-	(2,455)
Cash used in financing activities	(123,020)	(1,484,131)	(86,773)	(1,305,026)
Increase in cash and cash equivalents	6,244	23,540	(1,263)	21,034
Cash and cash equivalent at 1 January	220,754	166,650	71,613	15,871
Cash and cash equivalent at 30 June	226,998	190,190	70,350	36,905

Condensed Statement of Changes in Equity for the six months ended 30 June 2020

	Group 2020 Kshs'000	Group 2019 Kshs'000	Company 2020 Kshs'000	Company 2019 Kshs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserve	2,045,342	2,045,342	1,398,665	1,398,665
Revenue reserve	(413,760)	(238,279)	7,158	88,579
Exchange reserve	(108,066)	(115,699)	27	-
Total equity attributable to equity holders of company	1,650,624	1,818,472	1,532,958	1,614,352
Non-controlling interest	257,335	316,338	-	-
Total Equity	1,907,959	2,134,810	1,532,958	1,614,352

Commentary

The 1st half of the year was very challenging to our industry due to market and supply chain disruptions presented by the effects of COVID-19 pandemic. Despite these challenges, group revenues improved by 8% attributed to volume growth.

Cost saving initiatives, through Total Performance Management (TPM), continue to yield positive gains with reduction in overall expenses by 12%. The completion of debt restructure has enabled the group to focus on brand equity building, market coverage and internal efficiency improvement.

Dividend

The directors do not recommend payment of an interim dividend.

Outlook

Due to COVID-19 pandemic, the construction sector is still running cautiously with lower than normal demand. This is however expected to rebound as the restrictions continue to be lifted and movement of goods and people resumes.

Our subsidiary in Tanzania has continued to underperform due to challenges in accessing working capital and this remains a key focus area for the Board and Management.

Despite the challenges experienced in the 1st half of the year, the Group continues to proactively identify pockets of opportunities to promote brand visibility and improve customer experience to expand its market share. The Board is confident that the collective effort of all stakeholders in our business will yield positive results.

By Order of the Board
Virginia Nduge

Company Secretary
Nairobi,
28th August 2020

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